Financial Statement Forecasting and Analysis — handout

Lesson Forge Pro (owner)

Lesson plan

Financial Statement Forecasting and Analysis

Bloom's levels: Apply, Analyze

Objectives

- Prepare detailed company-specific financial models for forecasting and analysis
- Apply financial statement analysis techniques to evaluate business performance
- Identify key financial ratios and metrics for investment decisions

Prerequisites

- Introduction to Financial Modeling

Key points

Financial Statement Forecasting and Analysis

Session Overview

In this 120-minute session, we will explore the world of financial statement forecasting and analysis. By the end of this session, you will be able to prepare detailed company-specific financial models for forecasting and analysis, apply financial statement analysis techniques to evaluate business performance, and identify key financial ratios and metrics for investment decisions.

Timed Agenda

Time	Topic	Duration
0:00	Introduction and Energizer	5 minutes
0:05	Financial Modeling Overview	15 minutes
0:20	Financial Statement Analysis	20 minutes
0:40	Break	10 minutes
0:50	Key Financial Ratios and Metrics	20 minutes
1:10	Case Study and Group Discussion	20 minutes
1:30	Conclusion and Q&A	10 minutes

Introduction and Energizer (0:00 - 0:05)

Let's start with a quick energizer to get everyone engaged. Imagine you are a financial analyst, and you need to forecast the financial performance of a company. What are some key factors you would consider? (Allow students to share their thoughts.)

Financial Modeling Overview (0:05 - 0:20)

Financial modeling is like building a house. You need a strong foundation, a clear plan, and the right tools to get the job done. In financial modeling, our foundation is the company's historical financial data, our plan is the forecast, and our tools are financial statements and ratios. Let's take a look at the different types of financial models and their applications.

Business valuation, stock valuation, and project valuation

Scenario planning, FP&A, and management decision making

Budgeting, capital budgeting, and cash flow forecasting

Think of financial modeling like a recipe. You need to combine the right ingredients (data) in the right proportions (assumptions) to get the desired outcome (forecast).

Financial Statement Analysis (0:20 - 0:40)

Financial statement analysis is like being a detective. You need to examine the clues (financial statements) to solve the mystery (evaluate business performance). Let's review the four basic financial statements:

Balance sheet
Income statement
Cash flow statement
Statement of changes in equity

We will also discuss the management discussion and analysis (MD&A) section, which provides a description of the company's performance and future prospects.

Break (0:40 - 0:50)

Take a 10-minute break to stretch, grab a snack, and refresh your minds.

Key Financial Ratios and Metrics (0:50 - 1:10)

Financial ratios and metrics are like a dashboard in a car. They provide a quick snapshot of the company's performance and help you navigate the road ahead. Let's explore some key ratios and metrics, such as:

Liquidity ratios (current ratio, quick ratio)
Profitability ratios (gross margin, net profit margin)
Efficiency ratios (asset turnover, inventory turnover)
Solvency ratios (debt-to-equity, interest coverage)

Think of these ratios like a puzzle. Each piece provides a unique insight, and when combined, they form a complete picture of the company's financial health.

Case Study and Group Discussion (1:10 - 1:30)

Let's apply what we've learned to a real-world case study. We will work in groups to analyze a company's financial statements and identify key areas of strength and weakness.

Conclusion and Q&A (1:30 - 1:40)

Let's summarize what we've covered today and address any questions you may have. Remember, financial statement forecasting and analysis is like solving a puzzle. It requires patience, attention to detail, and practice.

Anticipated Learner Questions and Answers

Q: What is the difference between financial modeling and financial statement analysis?

A: Financial modeling is the process of creating a forecast or projection of a company's financial performance, while financial statement analysis is the process of examining and interpreting the company's historical financial data.

Q: How do I choose the right financial ratios and metrics for my analysis?

A: The choice of ratios and metrics depends on the company's industry, size, and specific circumstances. It's essential to select ratios that are relevant and meaningful to the company's financial performance.

Q: What are some common pitfalls to avoid in financial statement forecasting and analysis?

A: Some common pitfalls include relying too heavily on historical data, failing to consider external factors, and ignoring the limitations of financial models. It's essential to be aware of these pitfalls and take steps to mitigate them.